CASCADIA ANALYTICS

AeroVironment, Inc.

Equity Research Note | AVAV | 23 OCTOBER 2026

Backlog Machine

AeroVironment screens as a Hold, Valuation Concerns with a $69.85 blended target, 44% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$123.70	$69.85	-44%	HOLD, VALUATION CONCERNS

Investment Thesis

Backlog Machine. Funded backlog hit a record $1.5B [8-K guid], up 37% YoY, with $683M in Q1 bookings and a 1.4x book-to-bill. Demand for US tactical drones and counter-UAS is real and contracted. Q1 FY27: Record Revenue, Thinner Margin. Q1 FY2027: revenue up 5.7% YoY to a record $480.5M, adjusted EPS of $0.59 against a $0.25 estimate, bookings of $683M for a 1.4x book-to-bill and a record $1.5B funded backlog. The margin side was softer: adjusted EBITDA of $53.4M (11.1% of revenue) fell 5.6% YoY as Switchblade

- Backlog Machine
- Q1 FY27: Record Revenue, Thinner Margin
- Right Business, Wrong Price

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The latest print

Q1 FY27: Record Revenue, Thinner Margin. Q1 FY2027: revenue up 5.7% YoY to a record $480.5M, adjusted EPS of $0.59 against a $0.25 estimate, bookings of $683M for a 1.4x book-to-bill and a record $1.5B funded backlog. The margin side was softer: adjusted EBITDA of $53.4M (11.1% of revenue) fell 5.6% YoY as Switchblade sales dropped $56.9M on order delays and organic revenue fell 3.5% ex-acquisition.

Right Business, Wrong Price. At $123.70, the DCF base of $68.27 implies 45% downside. FY27 growth is only ~10% with flat adjusted EPS, yet the stock prices a defense supercycle. Healthy company, stretched multiple. We rate the shares Hold, Valuation Concerns: the business is healthy, and the price is the problem.

$480.5M	$0.59	$1.5B	$53.4M	$2.175B mid	-$36M
REVENUE (Q1 FY27)	ADJUSTED EPS (Q1 FY27)	FUNDED BACKLOG	ADJUSTED EBITDA (Q1 FY27)	FY2027 REVENUE GUIDE	FREE CASH FLOW (Q1 FY27)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q1 FY27)	$480.5M	+5.7%	Up
Adjusted EPS (Q1 FY27)	$0.59	+84%	Up
Funded Backlog	$1.5B	+37%	Up
Adjusted EBITDA (Q1 FY27)	$53.4M	-5.6%	Down
FY2027 Revenue Guide	$2.175B mid	+10%	Flat
Free Cash Flow (Q1 FY27)	-$36M	vs -$146.5M	Up
Long-Term Debt	$730M	n/a	Flat

The moat

Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog

The growth engine

Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ

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AeroVironment, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-36 CAGR	2036 REVENUE	2036 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$4.32B	2.8%	**$25.81**	-79%
Base	50%	12.0%	$6.21B	9.7%	**$68.27**	-45%
Bull	25%	15.0%	$8.09B	14.7%	**$117.06**	-5%

Bear: downside case at $25.81 (-79%).

Base: central case at $68.27 (-45%).

Bull: upside case at $117.06 (-5%).

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The probability-blended target implies 44% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -44% from the $123.70 reference price.

$69.85
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF on a detailed EBIT bridge: revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment. The discount rate is the live CAPM cost of equity: the 10-year Treasury yield plus beta times the market-implied equity risk premium.

Net debt of $271M is lease-inclusive: $730.1M of long-term debt plus $120.8M of operating lease liabilities, less $278.4M of cash and $301.8M of short-term investments at Q1 FY2027. We now take terminal value as the Gordon growth value alone; the exit-multiple leg and the blended average are retained in the model as cross-checks and are not used in the valuation. By scenario, our Gordon terminal values are $4.28B Bear, $9.25B Base and $15.05B Bull, against exit terminal values of $5.18B at 15.0x EV/FCF, $14.91B at 20.0x and $30.34B at 25.0x. The exit legs imply perpetual growth of 3.33% Bear, 4.97% Base and 5.98% Bull, versus our 2.0% Gordon assumption, and the growth-consistent exit multiple is 12.40x EV/FCF in every scenario. The present value of terminal value is 90.3% of Bear, 81.3% of Base and 79.3% of Bull enterprise value. Targets are divided by the 2036 share count, which grows the current 50.8M shares at 1.5% a year for dilution.

Revenue base (2026E)	**$2.00B**
Valuation horizon	**2027-2036**
Live WACC	**10.23%**
Terminal growth	**2.0%**
Net debt	**$271M**
2036 FCF (Base)	**$745M**
10-year Treasury yield	**5.0%**
Beta	**1.40**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $69.85 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 13.1%, at/above Base (12%) , constructive.

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Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$1.3B	$20.63	+10%	$5.3B	$98.75	+30%	$22.1B	$430.25
-9%	$1.4B	$22.35	+11%	$5.7B	$106.57	+31%	$23.7B	$461.56
-8%	$1.5B	$24.21	+12%	$6.1B	$114.99	+32%	$25.4B	$494.97
-7%	$1.6B	$26.22	**+13%**	**$6.6B**	**$124.05**	+33%	$27.2B	$530.62
-6%	$1.7B	$28.38	+14%	$7.1B	$133.78	+34%	$29.2B	$568.63
-5%	$1.8B	$30.72	+15%	$7.6B	$144.24	+35%	$31.2B	$609.16
-4%	$2.0B	$33.25	+16%	$8.2B	$155.47	+36%	$33.4B	$652.35
-3%	$2.1B	$35.97	+17%	$8.8B	$167.53	+37%	$35.8B	$698.35
-2%	$2.2B	$38.92	+18%	$9.4B	$180.48	+38%	$38.2B	$747.33
-1%	$2.4B	$42.10	+19%	$10.1B	$194.37	+39%	$40.9B	$799.47
+0%	$2.6B	$45.53	+20%	$10.9B	$209.26	+40%	$43.7B	$854.94
+1%	$2.8B	$49.24	+21%	$11.7B	$225.23	+41%	$46.7B	$913.94
+2%	$3.0B	$53.24	+22%	$12.6B	$242.34	+42%	$49.9B	$976.68
+3%	$3.2B	$57.55	+23%	$13.5B	$260.67	+43%	$53.3B	$1,043.35
+4%	$3.4B	$62.20	+24%	$14.5B	$280.29	+44%	$56.9B	$1,114.18
+5%	$3.7B	$67.21	+25%	$15.6B	$301.29	+45%	$60.7B	$1,189.41
+6%	$4.0B	$72.62	+26%	$16.7B	$323.76	+46%	$64.8B	$1,269.27
+7%	$4.3B	$78.44	+27%	$17.9B	$347.79	+47%	$69.1B	$1,354.03
+8%	$4.6B	$84.72	+28%	$19.3B	$373.48	+48%	$73.7B	$1,443.94
+9%	$4.9B	$91.47	+29%	$20.6B	$400.93			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1.79B	15.0x	2.0%	-$271M	$1.52B	**$25.81**
Base	$4.30B	20.0x	2.0%	-$271M	$4.02B	**$68.27**
Bull	$7.17B	25.0x	2.0%	-$271M	$6.90B	**$117.06**

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 81.3% of Base enterprise value (Bear 90.3%, Bull 79.3%). The terminal WACC is 10.23% in Base (Bear 10.23%, Bull 10.23%), on a terminal beta of 1.40 (Bear 1.40, Bull 1.40).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Bear	$25.81	$28.45	$33.95	$39.47	$44.89	$50.08	$54.90	$59.14	$62.60	$64.99	$66.00
Base	$68.26	$75.24	$85.42	$95.92	$106.53	$117.03	$127.10	$136.34	$144.25	$150.20	$153.40
Bull	$117.04	$129.00	$144.60	$160.90	$177.63	$194.44	$210.84	$226.19	$239.63	$250.07	$256.10

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $69.85 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Record $1.5B funded backlog, up 37% YoY, with 1.4x book-to-bill and $2.8B total funded plus unfunded backlog

Counter-drone and directed energy: $465M Army LOCUST contract plus $500M Titan IDIQ

BlueHalo acquisition adds space, cyber, and directed-energy portfolios to the core drone franchise

Revenue and margin trend

METRIC	FY23	FY24	FY25	TTM	FY27E
Revenue	$540.5M	$716.7M	$820.6M	$2.0B	$2.175B
Gross Margin	n/a	n/a	n/a	26.5%	n/a
Op Margin	n/a	n/a	n/a	-2.3% (Q1 FY27)	n/a

Valuation cross-check

P/E (fwd) 27.6x

DCF Base $68.27

EV/Revenue (NTM) 3.1x

DCF implies 45% downside. Paying 27.6x forward earnings for a company guiding flat adjusted EPS is a steep price even for a defense compounder.

Defense primes trade ~15-20x forward earnings

AVAV carries a premium to traditional primes on growth expectations, but FY27 guidance growth of ~10% does not justify the gap.

Shares fell over 40% YTD before the Q4 bounce

The stock trades below its prior peaks but above its pre-BlueHalo multiple range; the defense premium expanded without earnings to match.

What to monitor

Nov 2026. Q2 FY27 Earnings (Two-Sided): Must show organic recovery after Q1's -3.5% ex-acquisition decline and the Switchblade order delays.

Spring 2027. Defense Budget Funding (Positive): Management assumes new defense budget funds their programs; a funding unlock de-risks the FY27 plan.

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2026-2027. LOCUST and Titan Ramp (Positive): $465M Army LOCUST award and $500M Titan IDIQ enter production; counter-UAS is the fastest-growing segment.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$541M	$174M	$-23M	$-79M
2024	$717M	$284M	$72M	$103M
2025	$821M	$319M	$59M	$83M
2026	$2.0B	$501M	$-70M	$-35M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$825M	$274M	$551M	$133M
2024	$1.0B	$193M	$823M	$73M
2025	$1.1B	$234M	$887M	$41M
2026	$5.7B	$1.3B	$4.4B	$377M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$11M	$-15M	$51M	$-3M
2024	$15M	$-24M	$-23M	$-9M
2025	$-1M	$-23M	$-3M	$-24M
2026	$-78M	$-86M	$1.6B	$-165M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $69.85 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.90% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $305.2K of sales, a net flow of -$305.2K. One-year total shareholder return is -68.9% against CEO total pay of $795.2K (Mr. Wahid Nawabi), which the model scores as SUB-OPTIMAL ALIGNMENT.

20

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.90% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $305.2K (8), net -$305.2K, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -68.9%; Mr. Wahid Nawabi, Chairman of the Board, President & CEO, total pay $795.2K
Agency Risk Score	**20 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-15	Page Stephen F	Director	SELL	250	$38.1K
2026-09-15	Shackley Brian Charles	Officer	SELL	100	$15.2K
2026-08-17	Page Stephen F	Director	SELL	250	$48.0K
2026-08-14	Shackley Brian Charles	Officer	SELL	205	$41.4K
2026-07-15	Page Stephen F	Director	SELL	248	$35.5K
2026-07-15	Shackley Brian Charles	Officer	SELL	300	$42.9K
2026-06-15	Page Stephen F	Director	SELL	250	$43.6K
2026-05-15	Page Stephen F	Director	SELL	250	$40.6K

SEC proxy audit, DEF 14A filed 2026-08-14

Alignment grade B. COMPENSATION DATA NOT IN EXCERPT. Wahid Nawabi, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided excerpt covers introductory proxy disclosures, governance highlights, and record operational results (nearly $2 billion in sales and 26% organic growth) following the BlueHalo acquisition, but truncates prior to the Compensation Discussion & Analysis (page 43) and Summary Compensation Table (page 62). Consequently, specific executive compensation figures, annual incentive target achievement rates, and multi-year equity grant values cannot be quantitatively evaluated from this text. Governance structures disclosed include standard alignment mechanisms such as clawback provisions, share ownership guidelines, and an annual advisory say-on-pay vote.

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Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1368622/000110465926096689/tm264166-4_def14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 23 October 2026 for this note.

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The bear case

Appropriations Timing

Management's FY27 plan assumes the new defense budget funds its programs starting spring 2027. Any delay in appropriations pushes the back-half-loaded growth plan further out.

Switchblade Volatility

Switchblade sales fell $56.9M in Q1 FY27 on order delays. The company's flagship loitering munition is lumpy and timing-dependent.

Controls and Execution

The Q3 FY26 restatement included an $89M goodwill impairment on the cancelled SCAR space program plus a disclosed material weakness in internal controls. New CFO is still settling in.

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The strengths

Operating Quality

The dominant listed pure-play on US tactical drones and loitering munitions, now with BlueHalo's space and directed-energy portfolio and a record backlog. Offsets: GAAP unprofitable, adjusted EBITDA margin slipped to 11.1% in Q1, an $89M goodwill impairment on the cancelled SCAR program, and a disclosed material weakness in internal controls.

Recent Trend

Q4 FY26 was a genuine blowout: 30% pro-forma revenue growth, 22% adjusted EBITDA margin, full-year adj EBITDA of $286M beating guidance. But Q1 FY27 organic revenue fell 3.5% ex-ESAero, Switchblade sales dropped $56.9M on order delays, and the Q3 restatement plus control failure dents confidence.

Forward Growth

FY27 guide is sober: revenue up only ~10% with adjusted EPS essentially flat at $3.02-$3.34. Back-end loading depends on the spring 2027 defense budget. The pipeline is the bright spot: $1.5B funded backlog, LOCUST, Titan, P550, and the ~$1B FE-1 missile opportunity.

Valuation

DCF base $68.27 implies 45% downside at $123.70. NTM P/E of 27.6x on flat EPS guidance and EV/Revenue of 3.1x NTM are full prices for 10% growth. The defense premium has outrun the fundamentals.

Cascadia scorecard

Composite score 56: Fair. Confidence Medium, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	The dominant listed pure-play on US tactical drones and loitering munitions, now with BlueHalo's space and directed-energy portfolio and a record backlog. Offsets: GAAP unprofitable, adjusted EBITDA margin slipped to 11.1% in Q1, an $89M goodwill impairment on the cancelled SCAR program, and a disclosed material weakness in internal controls.	62
Recent Trend	Q4 FY26 was a genuine blowout: 30% pro-forma revenue growth, 22% adjusted EBITDA margin, full-year adj EBITDA of $286M beating guidance. But Q1 FY27 organic revenue fell 3.5% ex-ESAero, Switchblade sales dropped $56.9M on order delays, and the Q3 restatement plus control failure dents confidence.	60
Forward Growth	FY27 guide is sober: revenue up only ~10% with adjusted EPS essentially flat at $3.02-$3.34. Back-end loading depends on the spring 2027 defense budget. The pipeline is the bright spot: $1.5B funded backlog, LOCUST, Titan, P550, and the ~$1B FE-1 missile opportunity.	68
Valuation	DCF base $68.27 implies 45% downside at $123.70. NTM P/E of 27.6x on flat EPS guidance and EV/Revenue of 3.1x NTM are full prices for 10% growth. The defense premium has outrun the fundamentals.	44
Catalysts & Risk	Near-term positives: defense budget funding in spring 2027, LOCUST and Titan production ramps, Q2 FY27 earnings showing organic recovery. Risks skew negative: appropriations timing, Switchblade delays, negative FY27 FCF on heavy CapEx, the internal-controls weakness, and valuation leaving no room for error. Risk-skewed.	50

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Investment view

We rate the shares Hold, Valuation Concerns. We do not see a deteriorating business: the most recent reported quarter, Q1 FY2027, printed a Bullish earnings verdict, with adjusted EPS of $0.59 against a $0.25 estimate and revenue of $480.5M against a $456M consensus, and management reaffirmed the FY2027 revenue guide of $2.125B to $2.225B — about 10% above FY2026 actual revenue of $1,976.8M, with adjusted EPS essentially flat. Funded backlog is a record $1.5B. That record is why a Sell rating is not warranted. The Valuation Concerns qualifier is why we go no further than a Hold: our base case of $68.27 sits 45% below the $123.70 reference price, so the price, not the business, is the problem. A Q2 FY2027 quarter with organic revenue growth and Switchblade order recovery would lift Trend and Growth. A spring 2027 appropriations delay, another controls issue, or evidence that the business itself is deteriorating would change our view and would push the stock toward the $68.27 base case.

Investment view: Hold, Valuation Concerns. The $69.85 blended target implies -44%, balancing the $25.81 / $68.27 / $117.06 Bear / Base / Bull outcomes.

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